

Trump-Xi summit to yield tariff cuts, sideline AI

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【メール原文】

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Daily Brief

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summary

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The White House is likely to move forward with partial restrictions on the export of US diesel in early October, weeks earlier than we previously expected.

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Arab Gulf states' confidence in Trump's ability to conclude the Iran war on acceptable terms is eroding.

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Global growth is holding up, but wars, rising borrowing costs, and trade tensions are raising the chances of a slowdown.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, the EU, India, Middle East and North Africa, the UK, energy, and geoeconomics.

the top line

China, US—Xi-Trump summit preview

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In an EG conference call, analysts discussed how the summit between Trump and Xi is "low yield" but symbolically important: expect tariff reductions on \$30 billion of goods per side, a refreshed AI dialogue with little substance, and a commitment to reconvene at APEC (Shenzhen, November) and the G20 (Miami, December).

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The Busan truce extending past 10 November is likely, but the US wants only a six-month extension to maintain leverage on rare earths. China wants a full-term extension to lock in stability ahead of the 21st Party Congress.

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AI is the dominant long-term wildcard: EG recently raised odds of a major bilateral pothole before year-end to 30% from 20%, driven primarily by accelerating AI developments since the last summit.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

US, Energy—US likely to restrict diesel exports

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The White House is likely to move forward with partial restrictions on the export of US diesel in early October, several weeks earlier than we previously expected (65% odds).

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The looming US harvest season is increasing the political pressure on Trump and triggering our changing view. Internal opposition from Treasury Secretary Scott Bessent and Secretary of Energy Chris Wright appears to be outweighed by this pressure, though near-term price decreases would raise our 35% odds that no restrictions are imposed.

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US restrictions will likely ramp up gradually via Bureau of Industry and Security export license requirements, driving up global prices due to the US's role as a major exporter, while domestic price impacts are likely to be regionally specific and temporary.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

US, Energy—Chart of the day

US, MENA Crisis—US-Gulf Cooperation Council update

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On an EG conference call, analysts discussed how Arab Gulf states' confidence in Trump's ability to conclude the Iran war on acceptable terms is eroding, even as Trump sought to assure them at the UN General Assembly that the US is winning but that their patience is required for US sanctions to produce results.

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The US-Saudi relationship is approaching a crisis point because Houthi attacks on Riyadh and Mecca, along with US reluctance to engage militarily in Yemen, will likely accelerate Saudi hedging away from Washington, while the F-35 fighter jet deal amounts to damage control and will take years to materialize fully.

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The shuttle service through Hormuz is giving Trump some breathing room with Gulf partners because more oil is getting out, but the arrangement is uneven, unsustainable, and not a long-term solution to the disruption of commercial shipping chokepoints in the region.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Geoeconomics—Global growth is resilient, but headwinds are intensifying

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EG's basecase remains one of resilient demand and trade growth, but also persistent upside risks to long-term yields. Downside risks (30%, up from 25%) outweigh upside (25%, up from 20%), reflecting escalating geopolitical and trade conflicts, a more aggressive monetary policy tightening cycle, and higher yields.

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Ongoing conflicts in the MENA region and in Russia and Ukraine are keeping energy prices elevated—a direct risk to growth and inflation that can trigger second-round wage and price effects. With odds of resolution low and a significant risk of escalation, the chance of rapid normalization is fading.

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AI-related investment has broadened beyond its initial surge, adding upward pressure on real interest rates. Structurally higher yields are unlikely to fall substantially without fiscal tightening or investment retrenchment. Asian energy importers remain most exposed to the Iran war, even as buoyant exports have helped offset headwinds across Taiwan, South Korea, and much of ASEAN.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

India, Energy—New nuclear rules will boost domestic reactors over foreign alternatives

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New nuclear sector legislation is likely to spur increased demand for pressurized heavy-water reactors developed domestically, largely driven by Indian heavy industry and power sector demand.

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Future demand for small modular reactors will be determined by AI-related infrastructure like data centers, but will face regulatory barriers.

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The final rules are likely to integrate nuclear power more closely into India's green finance frameworks.

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Read more here . Reach out to discuss: southasia@eurasiagroup.net .

upcoming conference calls

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24 September 10:00 AM ET—US midterm update. Register here .

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24 September 12:00 PM ET—Brazil update. Register here .

eg in depth

UK, EU—'Made in Europe' agenda puts UK-EU trade relations at risk: The EU's Industrial Accelerator Act (IAA), intended to ensure that more of the products needed for Europe's green transition are made in the EU rather than China, risks significant unintended consequences for close partners such as the UK. In its current form, the IAA could exclude Britain's automotive, nuclear, and hydrogen sectors from EU procurement and support schemes, which could trigger British retaliation under the Trade and Cooperation Agreement, including targeted tariffs. A compromise may prove difficult: The UK cannot negotiate exemptions with the European Commission but would instead need to secure support from EU

member states and the European Parliament. Read more here . Reach out to discuss: europe@eurasiagroup.net.

Brazil—Brazil on track to top US in agricultural exports from 2028: After rapid gains in recent years, Brazilian agricultural exports are on track to surpass US exports from 2028, driven by advantages including multiple growing seasons, younger farmers, and successful export diversification. US agriculture is contending with structural challenges, including its dependence on cash-crop exports (particularly to China), high input costs, and low investment levels, which threaten its longer-term stability. Brazilian agriculture faces short-term challenges, including high credit costs, high fertilizer costs, and El Niño disruptions, while high credit costs could become a longer-term risk if the next president fails to implement a meaningful fiscal adjustment. Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Upcoming events:

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24 September: Events: Xi visits the US for talks with Trump; Central bank decisions: Egypt, Ghana, and Mexico.

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25 September: Data: US University of Michigan consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“Together we can and should find the right approach for China and the United States—two major countries—to get along with each other in the new era. I am confident that we can.” —Xi said in a statement on Wednesday before his arrival in Washington.

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